

Companies House and corporate accounting

Companies House, an agency sponsored by the Department for Business, Energy & Industrial Strategy, incorporates and dissolves limited companies, registers companies' information, and makes this available to the public.

Company registration

Any company that does business in the UK has legal obligations. If it has a physical place of business in the UK, whether it is an enterprise founded in the UK or is from overseas, one of its first obligations is to register with Companies House.

Overseas companies must register within one month of opening a place of business in the UK, but some types of overseas enterprises, such as partnerships, limited partnerships, or government agencies, cannot register in the UK.

In order to register, businesses must complete a registration form and pay a small standard fee. Some overseas businesses may also have to provide copies of their incorporation documents as well as their most recent set of accounts. Once registered, companies are expected to submit an annual tax return to Companies House. They must also submit quarterly statements and an annual return to Her Majesty's Revenue and Customs (HMRC), and pay corporation tax annually on profits up to £1.5 million, and in instalments on profits above £1.5 million.

Three types of enterprises must pay corporation tax on their profits: UK companies; overseas companies registered in the UK; and clubs, co-operatives, or other types of associations such as community groups or sporting clubs.

Partnerships do not register with Companies House and are not obliged to submit accounts to HMRC – other than the personal income tax returns of the individuals in the partnership.

UK Accounting Standards

Both Companies House and HMRC require financial statements to be prepared in a format that complies

with official UK accounting standards, which means that specific items and types of calculations must be included in the accounts. The standards are issued by the Financial Reporting Council (FRC), and the UK Generally Accepted Accounting Practice (UK GAAP) is the body of regulations that have been established over time, stipulating how UK company accounts must be prepared and reported. It includes accounting standards as well as UK company law. The accounting framework is made up of six different standards, FRS 100–FRS 105, each of which sets out the reporting standards required for the different kinds of companies in the UK, for instance, as parent companies, unlisted companies, and insurers.

Company accounts need to be submitted to both HMRC and to Companies House at the end of the financial year. The accounting year begins on 1 June and finishes on 31 May, but these dates can differ in a company's first year since a company begins its first accounting period from the day it is incorporated, not the day it starts trading.

Companies do not have to use an accountant to prepare accounts, but directors are legally obliged to ensure that financial statements adhere to the guidelines issued by the FRC. Private companies are obliged to hold their accounting records for three years, whereas public companies must keep them for six years.

Fraud prevention

From 2017, the law on tax evasion will include the new corporate offence of failure to prevent the facilitation of tax evasion, both in the UK and overseas. This means that anyone who turns a blind eye to tax evasion for an employer, or who is in any way involved in the evasion